

Analysis of Contemporary Economic Issues

Guidance 4: NBB's annual report (structural issues)

Based on Geoffrey Minne's Conference

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**SOLVAY BRUSSELS SCHOOL
ECONOMICS & MANAGEMENT**

Outline

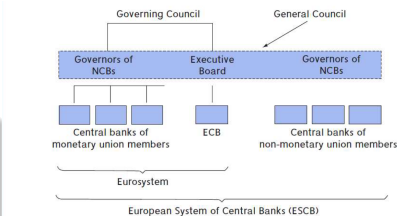
- 1 National Bank of Belgium
- 2 Competitiveness
- 3 Structural Reforms
- 4 Questions

What is the National Bank of Belgium ?

- The NBB is part of the **ESCB** and the **Eurosystem**
- **ESCB**: ECB + all EU NCBs
- **Eurosystem**: ECB + NCB of euro area members

Role

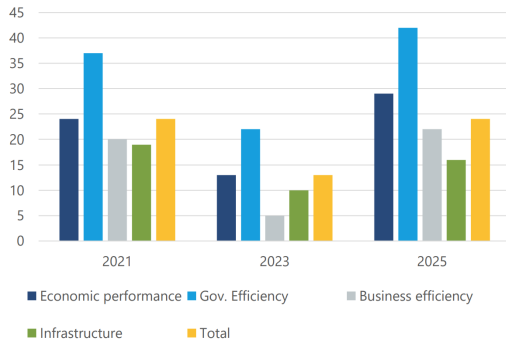
- **Monetary Policy**: Participation in decision making and implementation.
- **Macro-prudential policy**: Banking supervision, stress tests (since 2008). **Other**: Statistics, Knowledge center, etc.



Source: Based on data from the European Central Bank.

Competitiveness: Fading Strengths

Belgium in the IMD Competitiveness ranking



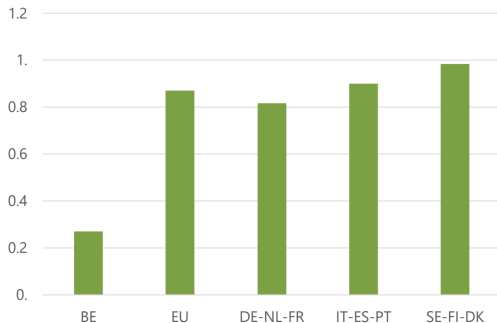
Key Issues:

- Low productivity growth (same level as Greece).
- Skills-needs mismatch : years of education and branch of studies problem (lack of STEM, especially women.)
- High energy/regulation costs : mostly a problem for EILs.
- Rigid wage-setting : Law of 1996 on salaries limits sectorial differentiation (productivity driver).
- Low job mobility incentives because of weak high/median wage gap.

Scaling Issues & Pharma Dependency

Young high growth enterprises

(share measured in employment among active enterprises with at least 10 employees, 2023)

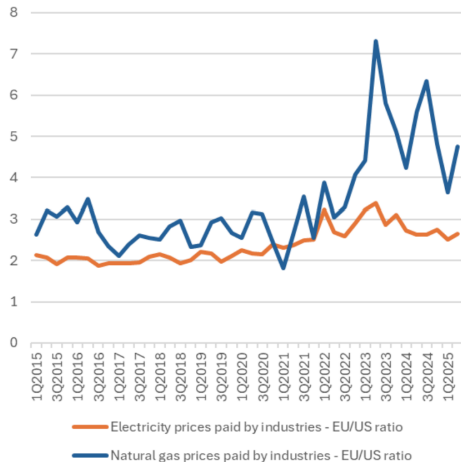


Sectoral Imbalance:

- Pharma dominating (~20% manufacturing VA).
 - US top export market.
 - Long-term relocation risks of production and research capacities.
- Pharma and Chemicals represent 2/3 of exports, high dependency.
- No emergence of scale ups and start ups because of weak growth.
- Scaling-up problem, not creation.
- Also lack of hiring incentives.

Energy Costs Vulnerability

Adverse EU level competitiveness vs US



Competitiveness Drop:

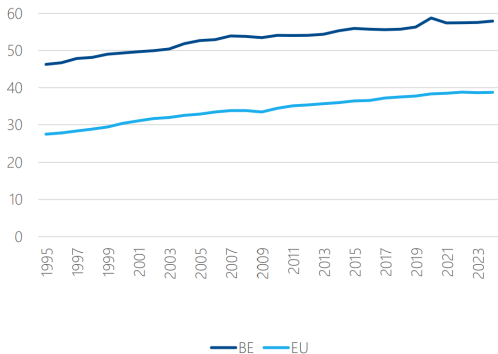
- Adverse EU vs. US competitiveness.
- Weakened Energy Intensive Industries (EIs).
- High sensitivity to electricity/gas prices.
- Mitigation: Energy norm, CISAF support.

Speaker Insight

- US comparative energy advantage.
- EU paying premium.
- EIs highly vulnerable to energy inflation.

Innovation vs. Diffusion Gap

Hourly labour productivity
(real value added per hour worked)



Paradox:

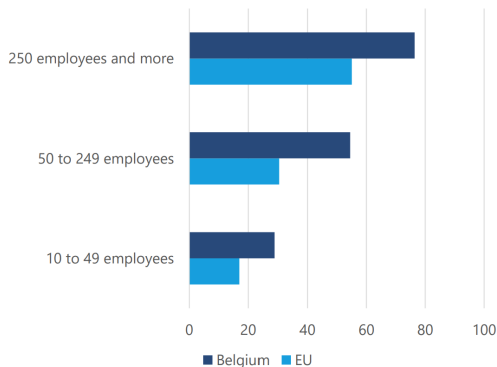
- Top 5 EU innovator.
- High R&D (3.4% GDP).
- Low innovation diffusion.
- No productivity gains.

Speaker Insight

- High hourly productivity.
- Pharma dependency.
- Major diffusion problem.
- AI gap: Large firms vs. SMEs.
- Missing link: R&D vs. labor productivity.

Innovation vs. Diffusion Gap

AI is firmly established in large enterprises

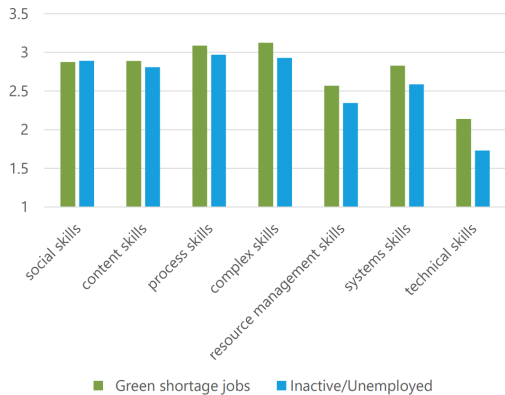


AI Adoption vs. Diffusion Gap:

- **Belgian Leadership:** Outperforming EU average in AI adoption.
- **Large Firm Dominance:** High penetration (~75%) in 250+ employees.
- **The SME Gap:** Sharp decline for smaller firms (10-49 employees).
- **The Core Paradox:** Missing link between R&D and labor productivity gains.

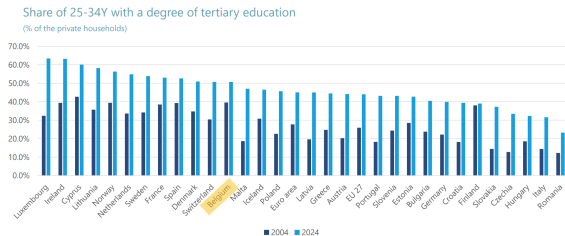
Labor Market: Green Skills Mismatch

Skill requirements of green shortage jobs
versus the skills of the inactive/unemployed
(1 = not important, 5 = excessively important)



Education & Needs:

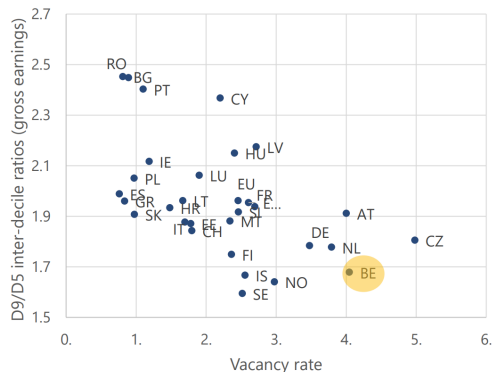
- Highly educated population.
- Above EU avg, but far behind competitors.
- But missing key future and technical skills.
- Severe mismatch for "green jobs".



Labor Market: Green Skills Mismatch

Vacancy rate and D9/D5 inter-decile ratio

(average 2018-2023, gross earnings for the inter-decile ratio)



Education & Needs:

- High job vacancies : explained by skill mismatch
- Belgium has one of the highest inactivity rates in EU.
- Vacancy vs. wage gap correlation.
- D9/D5 compares wages of 9th decile against wages of 5th decile (median) : it is low for Belgium → low differentiation.

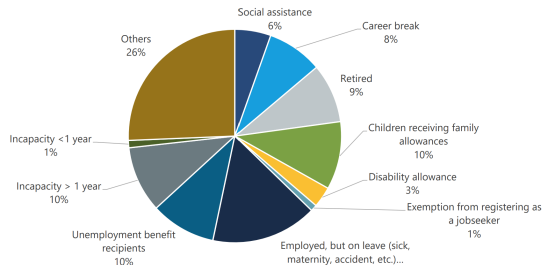
Unemployment System Reform

Unemployment System Reform

- Limiting unemployment benefits to a maximum of 2 years.
- If no recent work history, possible exclusion after 1 year.
- Social assistance for excluded individuals.

Labour reserve

(percentage of the population not in regular employment, ages 20–64, 2022)



Labour Reserve & Inactivity:

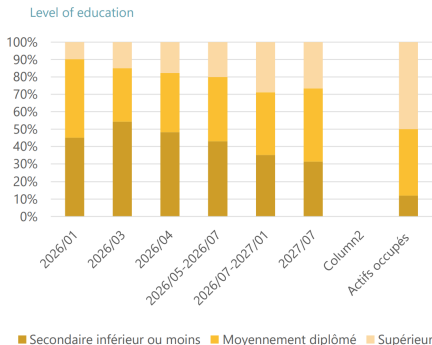
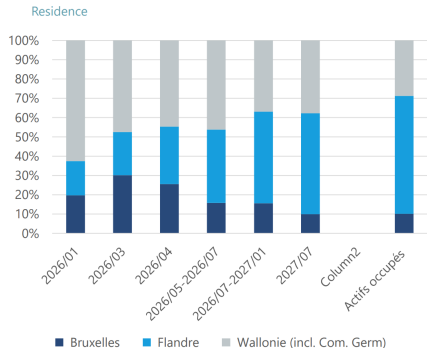
- **High Inactivity Rate:** Urgent need to activate workforce potential.
- **Fragmented Causes:** Multiple reasons for low participation (no single dominant factor).

Structural Reform Strategy:

- **Changing the Rules:** Redesigning labor market dynamics.
- **Frictional Unemployment:** Aid intended to maintain consumption during job transitions.
- **Incentive Shift:** Benefits must not discourage work → Strict duration limits.

Unemployment System Reform

Characteristics of the unemployed jobseekers being excluded and of the employed



Reforms will hit regions and households differently:

- **Geographic Mismatch:** Jobs concentrated in Flanders, while unemployed are predominantly in Wallonia.
- **Structural Barriers:** Skill mismatch, skill obsolescence, and lengthy job search procedures.

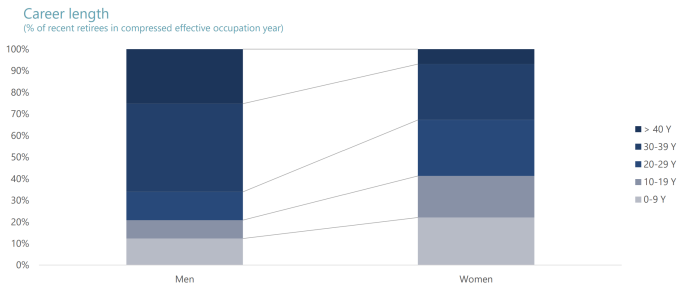
Pension System Reform

Pension System Reform

- Convergence of pension schemes and revision of special regimes.
- Reduction of public sector employment pensions.
- Bonus/malus for early or deferred retirement.
- New rules on career length.

- The goal here is to save money, not to increase labor force.
- Bonus/malus system works well in other countries thanks to penalties, bonus are ineffective.

Risk is that it would rise inequality and hit strongly some vulnerable households with no adjustment possible.

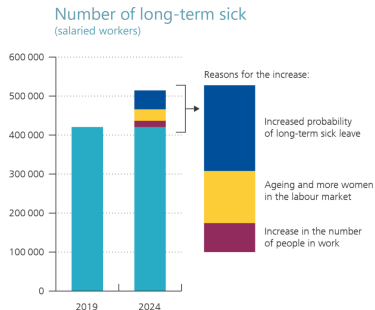


- Experienced workforce will have more difficulties to adapt.
- Women will be more impacted because of incomplete career (40% don't have 10 complete years of career).

Sickness System Reform

Sickness System Reform

- Obligation for workers to participate to the proposed reintegration action.
- Employers to contribute to sickness benefits (for two additional months).
- Sanctions on doctors' prescribing behavior.
- Working longer, but in a feasible way: family credit, stricter access to end-of-career jobs



- 500 000 workers in long-term sick, projected to 600 000.
- 2019-2024 increase mostly due to increase in women workforce and increase in probability of long-term sick leave/mental issues.

Conclusion

The Belgian economy possesses several strengths (geographic location, robust sectors, and infrastructure), that are currently under threat.

- **High innovation but low productivity growth:** Need for better diffusion of innovation throughout the economy.
- **Skills and training:** Significant improvements are required regarding human capital and formation/education.
- **Structural reforms:** While necessary, the pace of these reforms may be too rapid.
- **Policy focus:** Current reforms concentrate on labor supply but lack corresponding product market reforms and support for employers.

Any Questions?

Clicker Questions

1. (UA) Please select the fully accurate statement concerning innovation and productivity in Belgium.

- A. The lack of business dynamism is mainly due to a low startup creation rate.
- B. AI adoption is equally high among large enterprises and SMEs.
- C. Belgium suffers from low R&D expenditures compared to the EU average.
- D. High R&D spending does not translate into labor productivity gains due to low innovation diffusion.

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2. (MA) Please select the fully accurate statements concerning the Belgian labor market.

- A. The skill mismatch is primarily related to a lack of technical and STEM profiles.
- B. Belgium currently has one of the lowest job vacancy rates in Europe.
- C. Job vacancies are heavily concentrated in Flanders while the unemployed are mostly in Wallonia.
- D. The education issue is tied to the chosen field of study rather than the number of years studied.

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3. (UA) Please select the inaccurate statement concerning the recent structural reforms in Belgium.

- A. The primary goal of the pension reform is to boost the labor force rather than save money.
- B. The increase in long-term sickness is largely driven by demographic changes and more women working longer.
- C. In international pension schemes, penalties (malus) are generally more effective than bonuses.
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4. (MA) Please select the fully accurate statements concerning Belgium's economic competitiveness.

- A. Energy Intensive Industries (EIs) in Europe are highly vulnerable to energy inflation compared to the US.
- B. The Belgian economy suffers from a scaling-up problem rather than a lack of business creation.
- C. Belgian exports are highly diversified, which completely removes the long-term risk of relocation.
- D. High energy and environmental regulation costs are weakening the competitiveness of historical sectors.

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